Morgan Stanley | RESEARCH

IDEA

May 20, 2026 07:17 PM GMT

Asia Economics | Asia Pacific

The Viewpoint: Is Asia's macro story all about semis?

MORGAN STANLEY ASIA LIMITED
Chetan Ahya
Chief Asia Economist
Chetan.Ahya@morganstanley.com +852 2239-7812

MORGAN STANLEY ASIA (SINGAPORE) PTE.
Derrick Y Kam
Asia Economist
Derrick.Kam@morganstanley.com +65 6834-8272

MORGAN STANLEY ASIA LIMITED
Jonathan Cheung
Economist
Jonathan.Cheung@morganstanley.com +852 2848-5652

Kelly Wang
Economist
Kelly.Wang@morganstanley.com +852 3963-0891

MORGAN STANLEY INDIA COMPANY PRIVATE LIMITED
Sudhanshu Agarwal
Economist
Sudhanshu.Agarwal@morganstanley.com +91 22 6995-4568

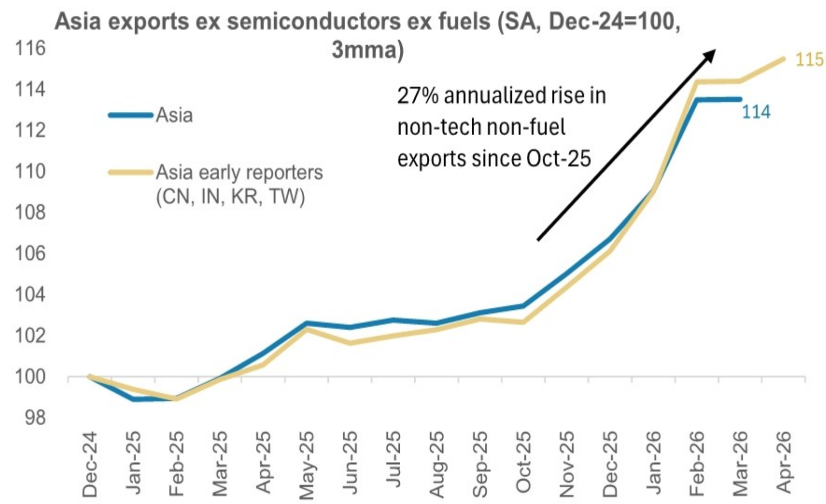
The sharp rise in Asia's non-tech exports over the past six months has gone largely unnoticed. We expect the strength in non-tech exports to be sustained, which will help broaden Asia's recovery from exports to capex and then to consumption.

Key Takeaways

- Asia's non-tech exports have risen 27% annualized over the past six months, highlighting that Asia's export recovery extends well beyond just semiconductors.
- Stronger capital and intermediate goods exports have driven this. A broad capex upturn has helped to support this stronger exports trend.
- We expect capex in both tech and non-tech sectors to stay strong, supporting Asia's exports growth.
- This recovery in both tech and non-tech exports will spill over positively to job creation, income growth, and consumer spending across Asia.
- The risk is if geopolitical tensions emerge and weigh on corporate confidence.

In this report, we highlight how the sharp rise in non-tech exports is contributing to strong overall exports growth in Asia. We explore the implications of this broader recovery in exports.

Exhibit 1: A sharp rise in Asia's non tech exports since October 2025



Source: CEIC, Haver, Morgan Stanley Research; Note: Asia includes China, India, Indonesia, Korea, Malaysia, Thailand, Taiwan, Australia, and Japan. Non-tech non-fuel exports have risen at an annualized run rate of 25% (and 27% for the early reporters – China, India, Korea, and Taiwan – which account for 60% of Asia's exports) since October 2025 when the US signed trade deals with most Asia economies.

Details

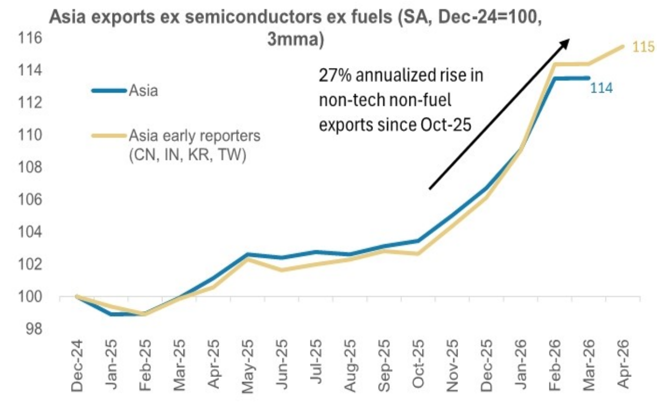
Investors' view is that Asia's macro story is all about semis: On Asia, the focus amongst investors is very much around the tech cycle and what's driving it. A parallel narrative that runs alongside this tech-driven growth is that of a K-shaped recovery – where investors perceive the exports boom to be narrow and where there would be limited spillovers to consumption growth.

Our view – don't underestimate the recovery in non-tech exports: Investors appear to be underestimating the strength in non-tech exports. In our conversations, most investors are surprised by the sharp turnaround in non-tech exports. While tech exports drove Asia's exports for the first nine months of 2025, non-tech exports have already inflected meaningfully higher from 4Q25 onwards.

From October 2025 to March 2026, non-tech exports for Asia have risen an annualized 25% in US dollar terms. Key non-tech exports include ships, networking and telecom equipment, and construction machinery. This strength has extended into April 2026. For the select early reporting Asian economies – China, India, Korea, and Taiwan (which account for about 60% of Asia's exports) – non-tech exports have risen an annualized 27% between October 2025 and April 2026.

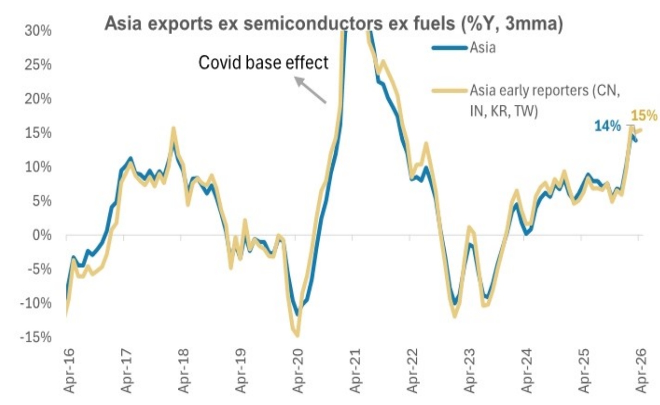
Non-tech exports growth, on a three-month YoY basis, also reached a three-and-a-half year high in April 2026. The growth rate of 14% is also comparable to the peak of 14% reached during 2017-18 – the last time a global synchronous recovery was underway. Indeed, between October 2025 and March 2026, non-tech exports contributed 8.3ppt to overall exports growth, much higher than the 3.7ppt contribution over January-September 2025. In the latter section, we look more closely at the drivers of Asia's non-tech exports recovery.

Exhibit 2: A sharp rise in Asia's non tech exports since October 2025



Source: CEIC, Haver, Morgan Stanley Research; Note: Asia includes China, India, Indonesia, Korea, Malaysia, Thailand, Taiwan, Australia and Japan. Non-tech non-fuel exports have risen by an annualized run rate of 25% (and 27% for the early reporters – China, India, Korea, and Taiwan, which account for 60% of Asia's exports) since October 2025 when the US signed trade deals with most Asia economies.

Exhibit 3: Non-tech exports for early reporters in Asia grew at 15%Y in April



Source: CEIC, Haver, Morgan Stanley Research; Note: Asia includes China, India, Indonesia, Korea, Malaysia, Thailand, Taiwan, Australia and Japan.

Non-tech exports help broaden Asia's recovery: We have been highlighting that Asia's recovery will broaden out to non-tech this year. This is particularly important because non-tech exports have much stronger spillovers into the real economy, as compared to tech exports, which tend to be more capital intensive.

We think Asia is in a virtuous cycle, where the rise in exports – both tech and non-tech – and the robust capex cycle will help to support job creation and wage growth – underpinning consumption growth. This backdrop will generate positive spillovers to Asia's growth momentum. For China, considering the starting point of excess capacity and deflationary pressures, we think that the strength in exports will first show up in improving capacity utilization, which will then reduce deflationary pressures and improve nominal GDP growth. As that unfolds, corporate revenue growth should pick up, followed by wage growth. Meanwhile, job creation should improve with a lag, as companies will first utilize the slack in their capacity before looking to start hiring.

Asia's capex and industrial super-cycle will continue to lift non-tech exports: Asia's industrial cycle is entering its strongest period since the mid-2000s, underpinned by a sustained, multi-year rise in capital expenditure rather than a cyclical rebound. The drivers are structural: AI and AI-related infrastructure, energy and energy transition, defense spending, and spillovers into broader industrial capex. This dynamic matters especially for Asia because the region is the world's largest industrial base, accounting for nearly half of global industrial value added, and sits at the center of the supply chains needed for AI hardware, semiconductors, energy-transition inputs, defense equipment, intermediate goods, and capital goods. As global capex rises and Asia's own domestic capex accelerates, the region stands to benefit twice: through stronger export demand and through a self-reinforcing domestic investment cycle that supports production, jobs, wages, consumption, and further capex.

The risk is if geopolitical tensions escalate: The key downside risk would be re-escalation of geopolitical tensions. In that scenario, oil prices could exceed US$150/bbl and remain elevated for several months – which would trigger a global recession. Pricing could also remain elevated for other materials critical to the supply chain, including petrochemicals and fertilizers, plastics, and inputs for semis manufacturing, metal processing, battery manufacturing, etc. While this will create a dent in the near-term growth momentum, we think that the structural drivers to the capex and industrial cycle will mean that non-tech exports will stage a quick and strong rebound from the trough.

A deeper dive into Asia's exports trends

In this section, we review the trends in Asia's exports by product categories as well as by exports to various destinations, then delve into the growth drivers. While semis exports have continued to accelerate into 2Q26, non-tech exports are also exhibiting sustained, broad-based strength. The strength of the capex cycle has been key in driving the recovery in non-tech exports.

Trends in Semis Exports

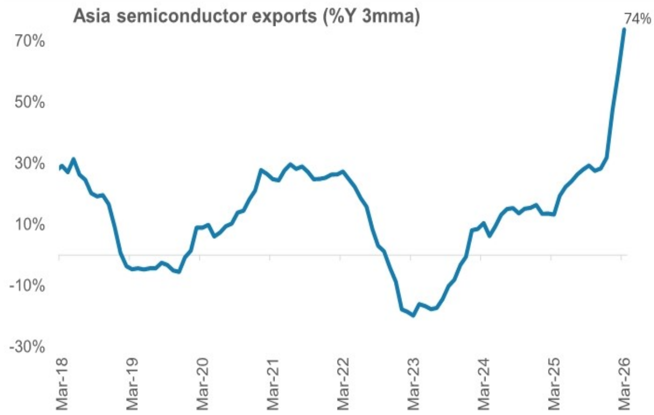
Still surging… Asia's semiconductor exports grew 74%Y on a 3MMA basis in March, almost tripling in YoY pace vs. the already strong 28% in 4Q25. Semiconductor exports now account for 10% of overall regional exports, up from 7% in 2023. Korea's daily exports data for the first 10 days of May suggest that semiconductor exports momentum has continued in 2Q.

…driven by strong demand from hyperscalers: Underpinning this has been continued strong US hyperscaler capex. At an aggregate level, US real IT capex grew 18%Y in 1Q26, accelerating from 5%Y in December 2024.

Faster agentic AI adoption to drive continued surge in hardware demand: Our US Internet research team expects hyperscaler capex (including Amazon, Microsoft, Google, and Meta) to rise 78%Y in 2026, to US$737bn, growing tfurther o over US$1trn in 2027 (see Internet: How Much Capacity Will $2 Trillion of Hyperscaler Capex Bring By '27? May 17, 2026).

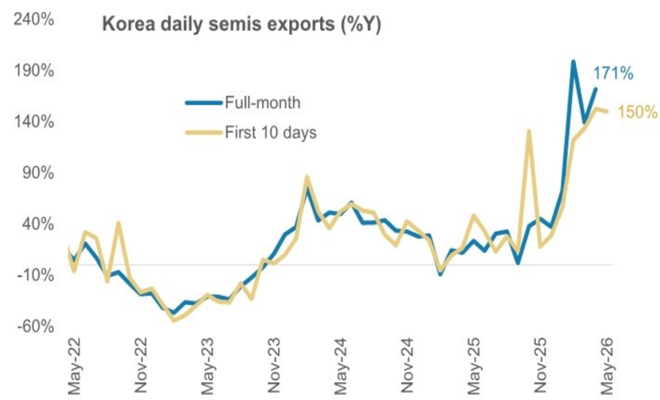
Shawn Kim, our Head of Asia and Europe Technology Research, also highlights 1Q26 as a breakout quarter for agentic AI, with many companies moving from experimental pilot programs to full-scale enterprise deployment. Shawn notes that with agentic AI scaling up faster than initially anticipated, corporate commentaries are guiding that hyperscaler data center deployments are requiring denser CPU infrastructure around GPU clusters. Against this backdrop, he expects total server CPU TAM of US$125bn by 2030, with DRAM demand likely to grow at 1.7x 2026 DRAM supply by 2030 (for more details, please see Global Technology: Agentic AI – The Surge Begins, 2, May 11, 026).

Exhibit 4: Asia's semis exports growth – still surging



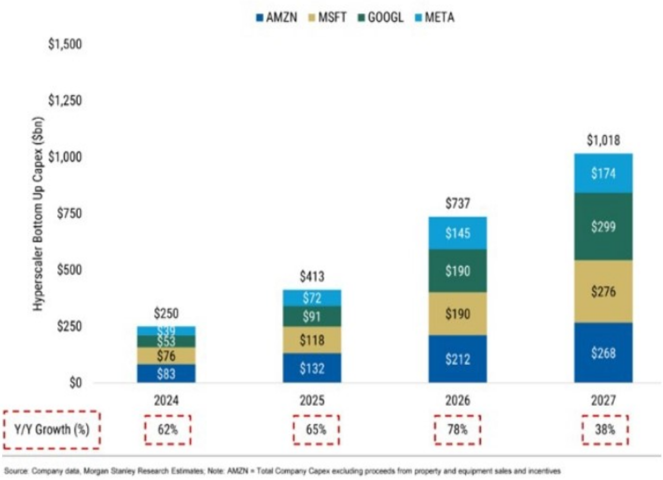
Source: Haver, Morgan Stanley Research

Exhibit 5: Korea's daily exports data suggest that momentum has been maintained into the first 10 days of May



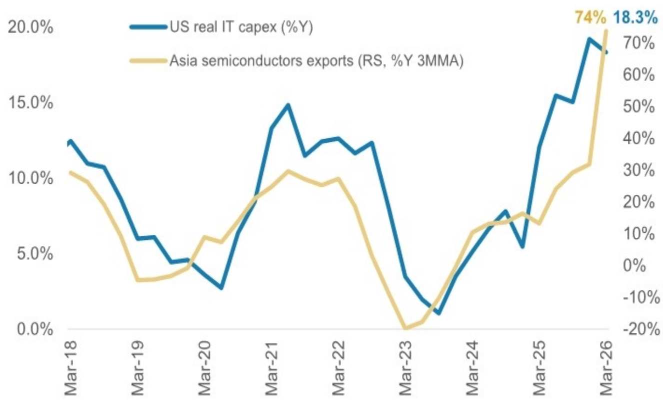
Source: Haver, Morgan Stanley Research

Exhibit 6: US hyperscaler capex to sustain strong growth through 2027



Source: Morgan Stanley US Equity Research team

Exhibit 7: Strong US IT capex to sustain Asia's tech exports

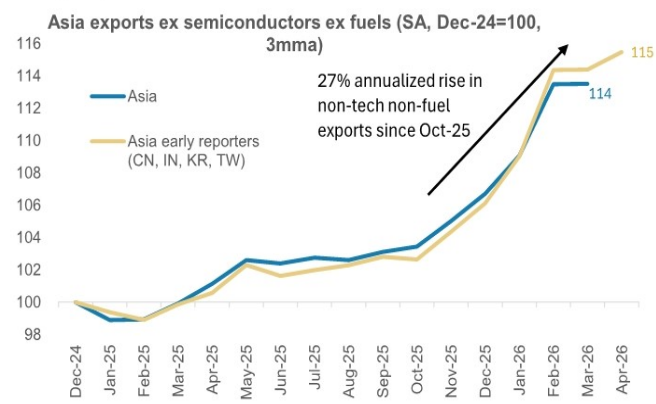


Source: Haver, Morgan Stanley Research

Trends in non-tech, non-oil exports

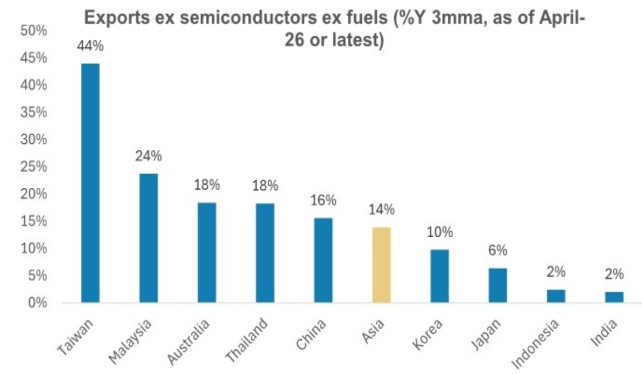
Non-tech exports are joining in the recovery: Over the past six months, there has been a sustained rising trend in non-tech exports. On an annualized basis, non-tech exports for Asia's early reporting economies (China, India, Korea and Taiwan – which collectively account for 60% of Asia's exports) have grown at 27% since October through April. On a YoY three-month trailing basis, non-tech exports growth has accelerated to 14%Y (vs. 5%Y 3MMA in October 2025). Non-tech exports growth also reached a three-and-a-half year high, with growth rates very similar to 2017-18.

Exhibit 8: On an annualized basis, non-tech exports for Asia's early reporting economies have grown at 27% since October through April



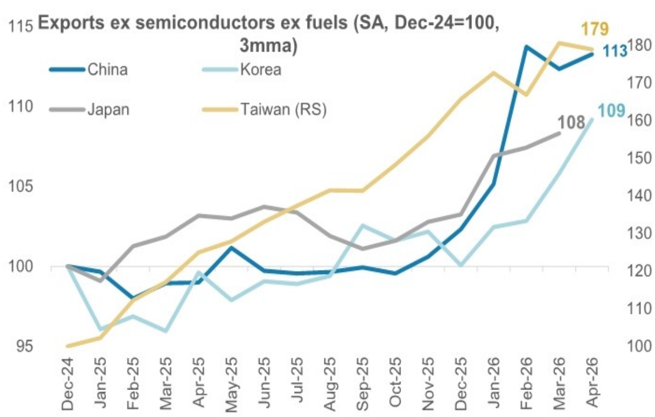
Source: CEIC, Morgan Stanley Research; Note: Asia includes China, India, Indonesia, Korea, Malaysia, Thailand, Taiwan, Australia and Japan. Non-tech non-fuel exports have risen at an annualized run rate of 25% (and 27% for early reporters) since October 2025, when the US signed trade deals with most Asian economies.

Exhibit 9: On a YoY three-month trailing basis, Asia's non-tech exports growth has accelerated to 14%Y



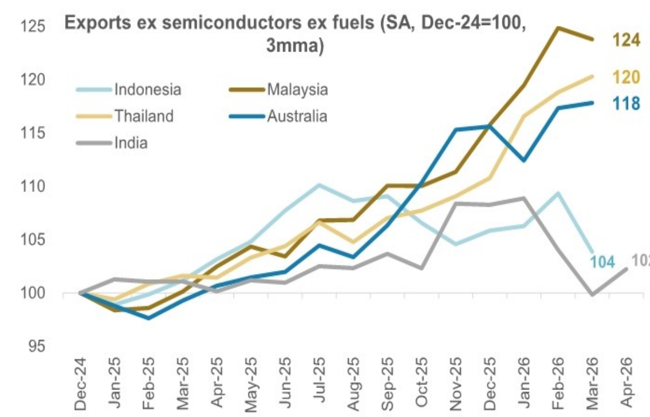
Source: CEIC, Morgan Stanley Research

Exhibit 10: Non-tech exports strength...



Source: CEIC, Morgan Stanley Research

Exhibit 11: ...has been relatively broad-based across economies



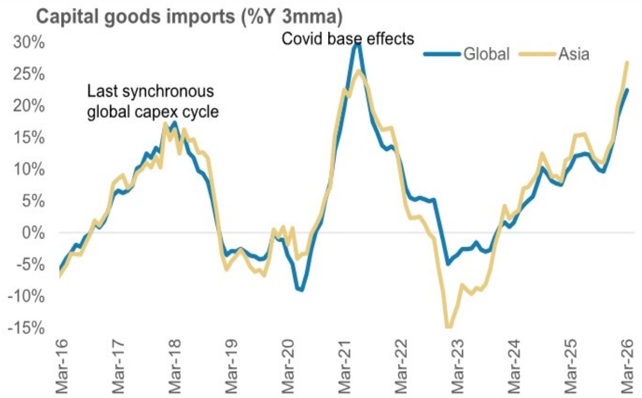
Source: CEIC, Morgan Stanley Research

Lower tariffs and stronger capex cycle are lifting non-tech exports: Two reasons explain the strength in non-tech exports.

1. Most Asian economies had started to sign trade deals with the US which led to a lowering of tariffs. Tariffs on Asia have now been lowered from 25% on average in September 2025 to 17% currently.
2. There has been broad-based strength in the US and global capex cycle. Global capital goods imports growth – the key proxy for equipment capex – is

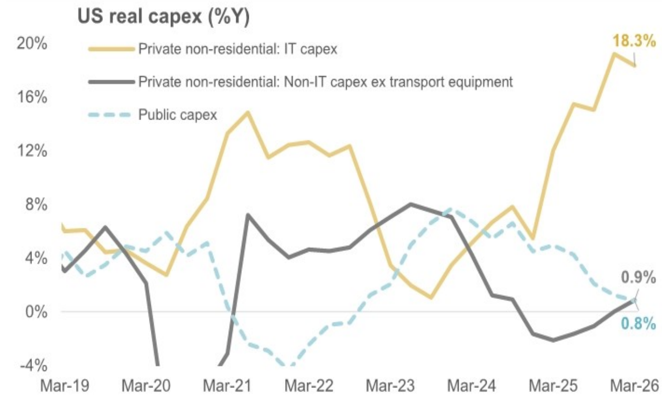
accelerating to beyond 2017-18 highs (excluding the pickup in 2021-22 driven by Covid base effects). In the US, the decline in non-IT capex has been narrowing and in 1Q26, non-IT capex growth (ex-transport equipment) turned positive. The broadening of the capex cycle is also reflected in US and Euro Area import trends. Capital goods imports (excluding semiconductors) have also led overall imports and have inflected since 4Q25.

Exhibit 12: Capital goods imports growth – the key equipment capex proxy – is accelerating to beyond 2017-18 highs (excluding the pickup in 2021-22 driven by Covid base effects)



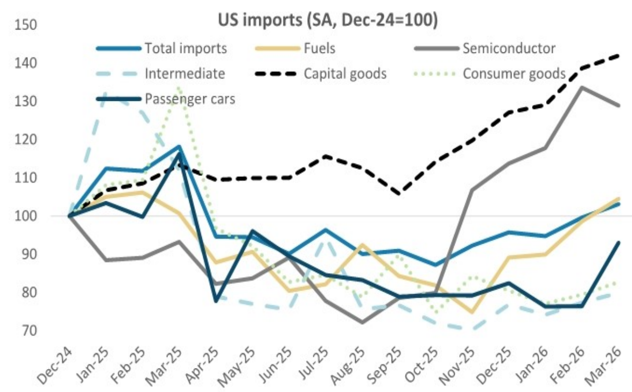
Source: Haver, Morgan Stanley Research

Exhibit 13: US non-IT investment is improving, and our US economics team expects a gradual broadening of the investment cycle



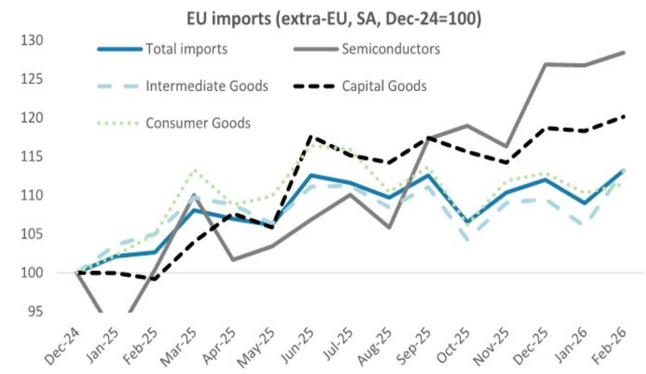
Source: Haver, Morgan Stanley Research

Exhibit 14: The broadening of the capex cycle is also reflected in import trends in the US...



Source: Haver, Morgan Stanley Research

Exhibit 15: ...and the Euro Area



Source: Haver, Morgan Stanley Research

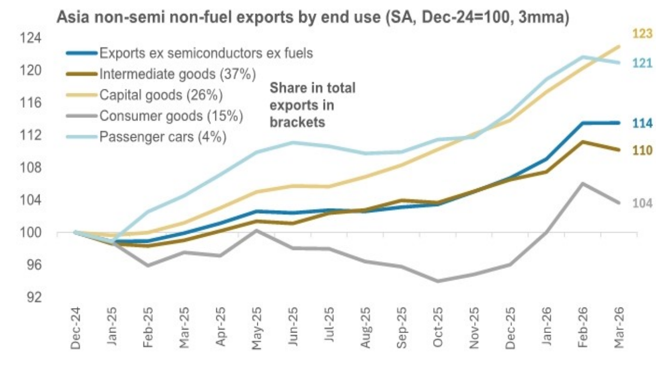
Which non-semis exports product segments are driving the rebound?

> The non-semis exports recovery has been broad-based across end-use product segments, with capital goods, cars, and intermediate goods driving the first leg of the recovery, while consumer goods exports have also joined in the recovery.

Capital and intermediate goods: Capital goods exports – which account for 26% of Asia's exports – have benefited from the capex cycle strength and showed the strongest growth at 21%Y 3MMA in March 2026. While part of the strength has come from AI-related products including and power equipment/components, other segments have exhibited strong growth too. For instance, there has been momentum in capital goods exports, including industrial equipment as well as non-passenger car transport equipment. Meanwhile, intermediate goods have been the second-fastest growing segment, lifted by the exports of parts which are linked to the production of capital and consumer goods exports.

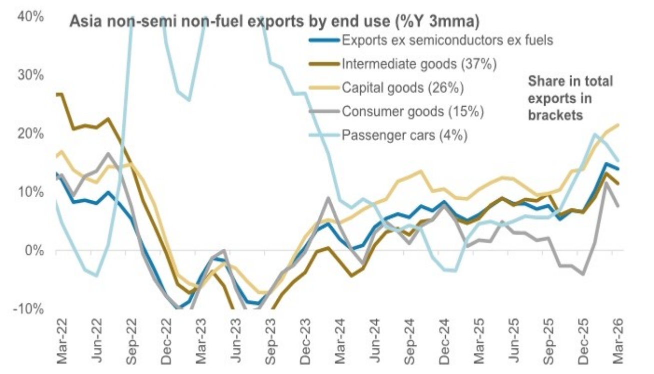
Consumer goods: Consumer goods exports troughed in October 2025 but started to rise more meaningfully from December 2025 onwards. In the early part of 2025, consumer goods lagged because of the imposition of tariffs – but as trade deals began to be signed from October onwards, they also started to recover.

Exhibit 16: The non-semis exports recovery has been broad-based across end-use product segments



Source: Haver, Morgan Stanley Research; Note: Capital goods are durable assets used by firms to produce other goods and services, such as computers, machinery and equipment, and transport equipment used in production. Intermediate goods are goods that are processed further or incorporated into final products. Intermediate goods include raw materials (e.g. crude oil, iron ore), processed materials (e.g. steel, chemicals), components and parts (e.g. electronic components, auto parts). We excluded semiconductors and fuels from intermediate goods.

Exhibit 17: Cars and intermediate goods drove the first leg of the recovery, while consumer goods exports have also joined in the recovery

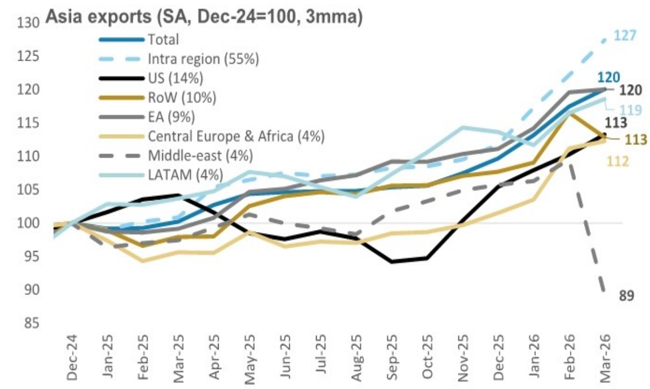


Source: Haver, Morgan Stanley Research; Note: Capital goods are durable assets used by firms to produce other goods and services, such as computers, machinery and equipment, and transport equipment used in production. Intermediate goods are goods that are processed further or incorporated into final products. Intermediate goods include raw materials (e.g. crude oil, iron ore), processed materials (e.g. steel, chemicals), components and parts (e.g. electronic components, auto parts). We excluded semiconductors and fuels from intermediate goods

Which regions have contributed to the strength in exports?

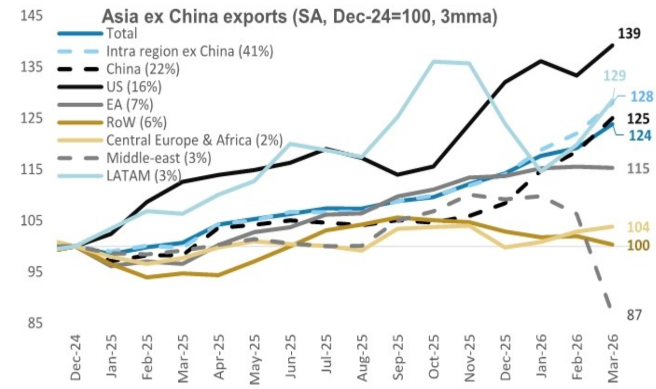
A near-synchronous rise in exports: Looking at the breakdown of Asia's exports by destinations, there has been a near-synchronous rise in exports to almost all regions, with the recent exception of exports to the Middle East, as a result of geopolitical tensions. In particular, intra-regional trade has been relatively strong, given the cross-border production network. For Asia ex China, exports to the US have been the strongest, while China's exports to US have weighed on overall Asia's aggregates, given the differential in tariff rates. To break this down further, we looked at the change in US imports by segment; again, we find that capital goods imports from the US have been outpacing overall import growth as compared to consumer goods, which in turn again reflects the tariff situation.

Exhibit 18: A near-synchronous rise in Asia's exports to almost all regions



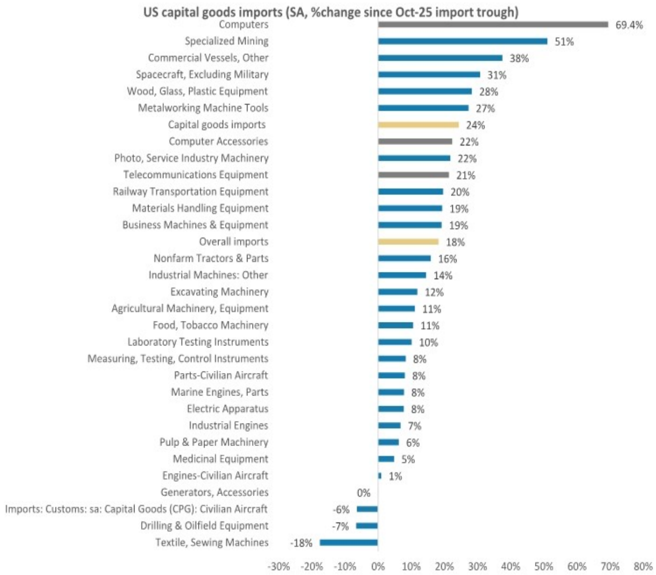
Source: Haver, Morgan Stanley Research

Exhibit 19: For Asia ex China, exports to the US have been the strongest



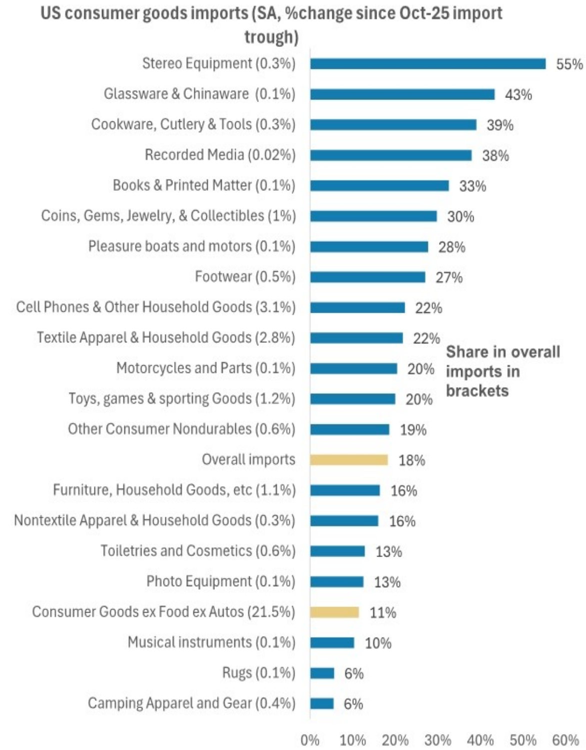
Source: Haver, Morgan Stanley Research

Exhibit 20: US capital goods imports: broad-based pickup beyond tech-related goods



Source: Haver, Morgan Stanley Research

Exhibit 21: US consumer goods imports: supported by discretionary items

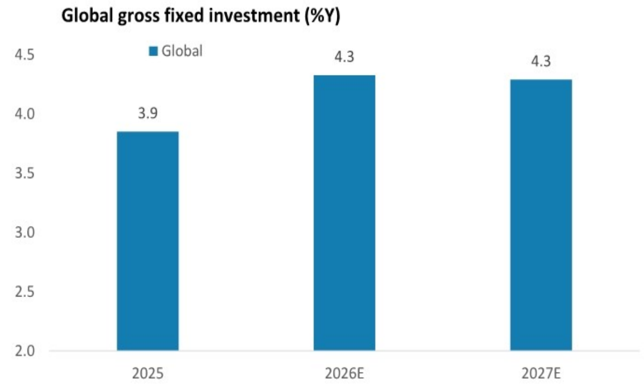


Source: Haver, Morgan Stanley Research; Note: Only top 20 consumer goods with highest growth are shown in the chart.

Outlook

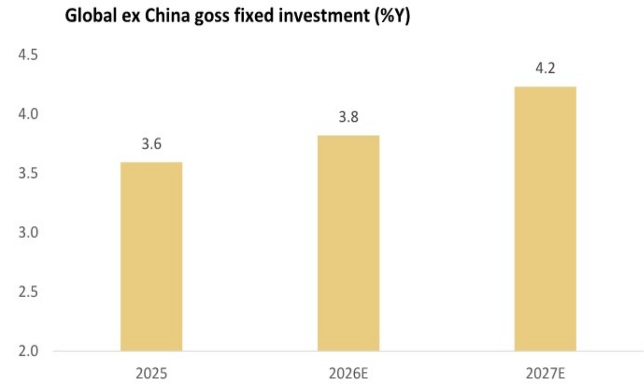
Non-tech exports to stay supported by acceleration in the global capex cycle: Our global economics team expects the global trade outlook to improve, led by an acceleration in the capex cycle. Global fixed investment (excluding China's property capex to remove the effects of the structural drag) is projected to improve from 3.9%Y in 2025 to 4.3% in 2026. This also means that global capex growth will be much stronger than overall GDP growth. In Asia, fixed investment (excluding China's property capex) will also accelerate from 4.6% in 2025 to 5.1% in 2026. This backdrop will continue to support Asia's trade.

Exhibit 22: Global capex growth (ex-China property investment) will improve from 3.9%Y in 2025 to 4.3% in 2026



Source: Morgan Stanley Research forecasts

Exhibit 23: Excluding China, we expect global capex growth to accelerate from 3.6%, to 3.8% in 2026 and 4.2% in 2027

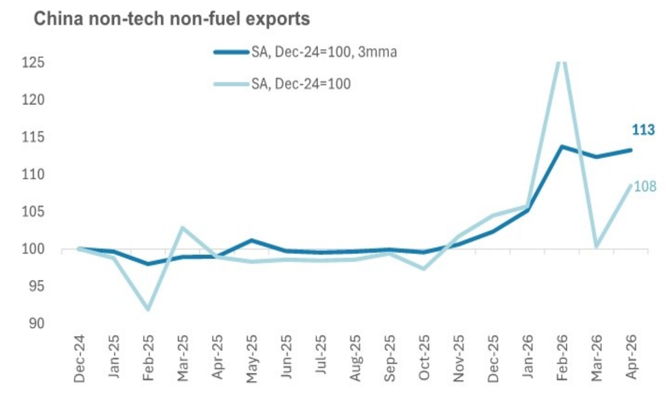


Source: Morgan Stanley Research forecasts

The growth cycle is broadening: We think Asia is in a virtuous cycle, where the rise in exports – both tech and non-tech – and the robust capex cycle will help to support job creation and wage growth – underpinning consumption growth.

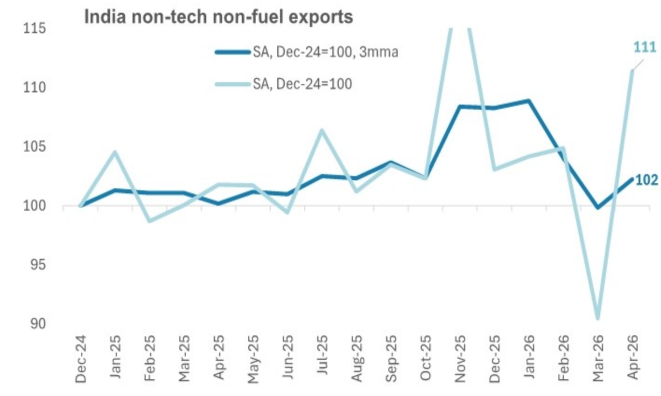
Chart Scan

Exhibit 24: China – non-tech, non-fuel exports



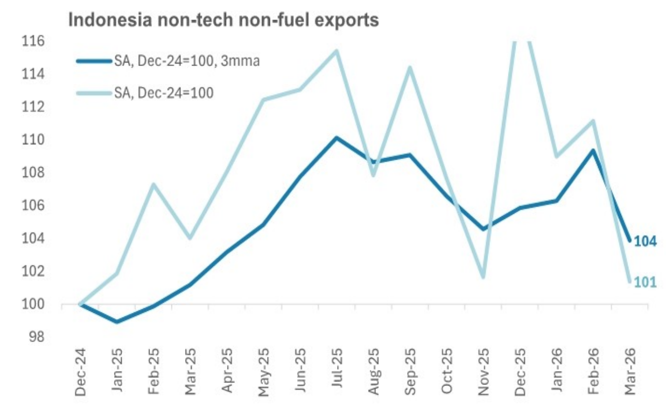
Source: CEIC, Morgan Stanley Research

Exhibit 25: India – non-tech, non-fuel exports



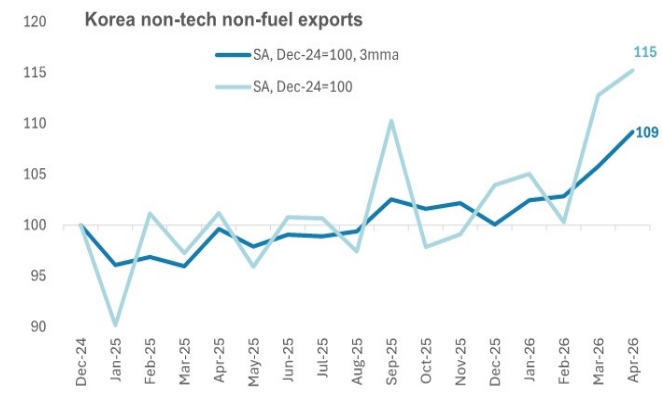
Source: CEIC, Morgan Stanley Research

Exhibit 26: Indonesia – non-tech, non-fuel exports



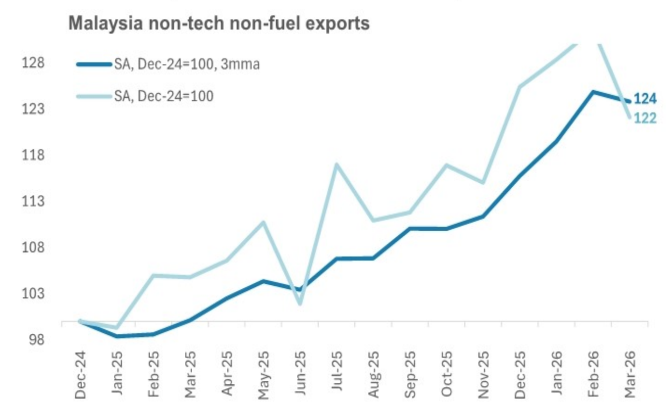
Source: CEIC, Morgan Stanley Research

Exhibit 27: Korea – non-tech, non-fuel exports



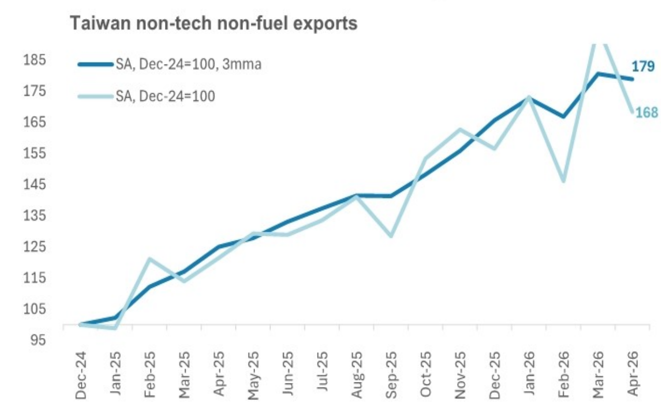
Source: CEIC, Morgan Stanley Research

Exhibit 28: Malaysia – non-tech, non-fuel exports



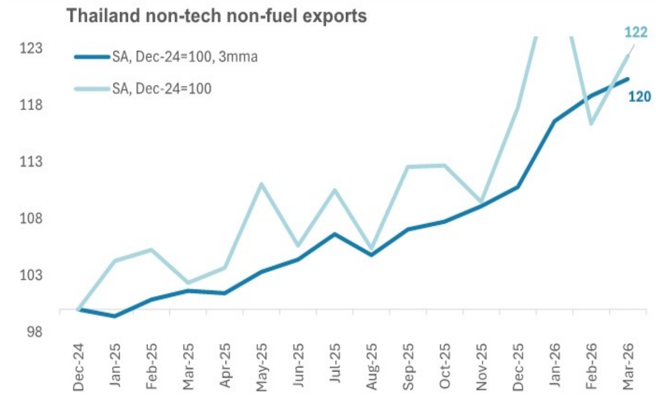
Source: CEIC, Morgan Stanley Research

Exhibit 29: Taiwan – non-tech, non-fuel exports



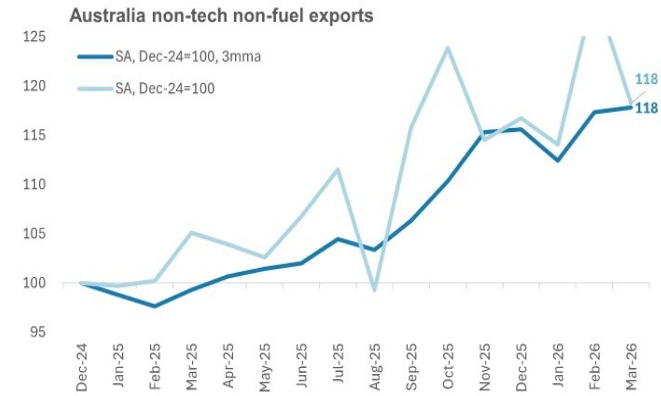
Source: CEIC, Morgan Stanley Research

Exhibit 30: Thailand – non-tech, non-fuel exports



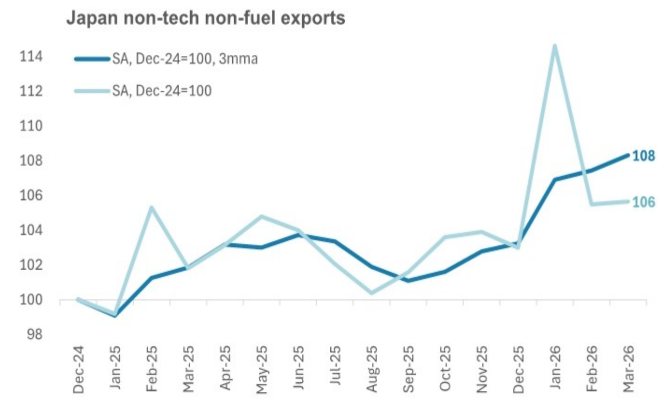
Source: CEIC, Morgan Stanley Research

Exhibit 31: Australia – non-tech, non-fuel exports



Source: CEIC, Morgan Stanley Research

Exhibit 32: Japan – non-tech, non-fuel exports



Source: CEIC, Morgan Stanley Research

Disclosure Section

Information and opinions in Morgan Stanley Research were prepared or are disseminated by one or more of the following, which accept responsibility for its contents: Morgan Stanley Asia Limited, and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105), Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts;
For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.
For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Disclosures

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.
Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.
The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.
With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.
Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.
To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.
Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.
Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of